

NEOSHO RIVER RESORT

ACCOUNTING CYCLE & FINANCIAL STATEMENTS

For the 3-Month Period Ended August 31, 2010

(A) ADJUSTING JOURNAL ENTRIES

The following adjusting journal entries have been prepared for the 3-month period (June 1 – August 31, 2010) and recorded on page J1.

Date	Account Titles and Explanation	Ref.	Debit (\$)	Credit (\$)
2010 Aug 31	Insurance Expense	722	1,200	
	Prepaid Insurance	130		1,200
	(To record expired insurance: $\$400 \times 3 \text{ months}$)			
Aug 31	Supplies Expense	631	2,700	
	Supplies	126		2,700
	(To record supplies used: $\$3,300 - \600)			
Aug 31	Depreciation Expense—Cottages	620	1,500	
	Accumulated Depreciation—Cottages	144		1,500
	(To record 3 months' depreciation: $\$6,000 \times 3/12$)			
Aug 31	Depreciation Expense—Furniture	621	600	
	Accumulated Depreciation—Furniture	150		600
	(To record 3 months' depreciation: $\$2,400 \times 3/12$)			
Aug 31	Unearned Rent Revenue	209	4,100	
	Rent Revenue	429		4,100
	(To record unearned rent revenue earned prior to Aug 31)			
Aug 31	Salaries Expense	726	400	
	Salaries Payable	212		400
	(To record accrued and unpaid salaries at August 31)			
Aug 31	Accounts Receivable	112	1,000	
	Rent Revenue	429		1,000
	(To record accrued rent revenue due from tenants)			
Aug 31	Interest Expense	718	600	
	Interest Payable	230		600
	(To record accrued interest: $\$80,000 \times 9\% \times 1/12 \text{ month from Aug 1}$)			

(B) GENERAL LEDGER (THREE-COLUMN FORM)

The ledger accounts below display initial unadjusted balances followed by postings from page J1.

ASSETS

CASH (NO. 101)					
Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
Aug 31	Balance	✓	19,600		19,600 (Dr)

ACCOUNTS RECEIVABLE (NO. 112)					
Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
Aug 31	Adjusting Entry	J1	1,000		1,000 (Dr)

SUPPLIES (NO. 126)					
Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
Aug 31	Balance	✓	3,300		3,300 (Dr)
Aug 31	Adjusting Entry	J1		2,700	600 (Dr)

PREPAID INSURANCE (NO. 130)					
Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
Aug 31	Balance	✓	6,000		6,000 (Dr)
Aug 31	Adjusting Entry	J1		1,200	4,800 (Dr)

LAND (NO. 140)					
Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
Aug 31	Balance	✓	25,000		25,000 (Dr)

COTTAGES (NO. 143)					
Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
Aug 31	Balance	✓	125,000		125,000 (Dr)

ACCUMULATED DEPRECIATION—COTTAGES (NO. 144)					
Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
Aug 31	Adjusting Entry	J1		1,500	1,500 (Cr)

FURNITURE (NO. 149)					
Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
Aug 31	Balance	✓	26,000		26,000 (Dr)

ACCUMULATED DEPRECIATION—FURNITURE (NO. 150)					
Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
Aug 31	Adjusting Entry	J1		600	600 (Cr)

LIABILITIES

ACCOUNTS PAYABLE (NO. 201)

Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
Aug 31	Balance	✓		6,500	6,500 (Cr)

UNEARNED RENT REVENUE (NO. 209)

Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
Aug 31	Balance	✓		7,400	7,400 (Cr)
Aug 31	Adjusting Entry	J1	4,100		3,300 (Cr)

SALARIES PAYABLE (NO. 212)

Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
Aug 31	Adjusting Entry	J1		400	400 (Cr)

INTEREST PAYABLE (NO. 230)

Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
Aug 31	Adjusting Entry	J1		600	600 (Cr)

MORTGAGE PAYABLE (NO. 275)

Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
Aug 31	Balance	✓		80,000	80,000 (Cr)

OWNER'S EQUITY

P. HARDER, CAPITAL (NO. 301)

Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
Aug 31	Balance	✓		100,000	100,000 (Cr)

P. HARDER, DRAWING (NO. 306)

Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
Aug 31	Balance	✓	5,000		5,000 (Dr)

REVENUES & EXPENSES

RENT REVENUE (NO. 429)

Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
Aug 31	Balance	✓		80,000	80,000 (Cr)
Aug 31	Adjusting Entry	J1		4,100	84,100 (Cr)
Aug 31	Adjusting Entry	J1		1,000	85,100 (Cr)

DEPRECIATION EXPENSE—COTTAGES (NO. 620)

Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
Aug 31	Adjusting Entry	J1	1,500		1,500 (Dr)

DEPRECIATION EXPENSE—FURNITURE (NO. 621)

Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
Aug 31	Adjusting Entry	J1	600		600 (Dr)

REPAIR EXPENSE (NO. 622)

Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
Aug 31	Balance	✓	3,600		3,600 (Dr)

SUPPLIES EXPENSE (NO. 631)

Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
Aug 31	Adjusting Entry	J1	2,700		2,700 (Dr)

INTEREST EXPENSE (NO. 718)

Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
Aug 31	Adjusting Entry	J1	600		600 (Dr)

INSURANCE EXPENSE (NO. 722)

Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
Aug 31	Adjusting Entry	J1	1,200		1,200 (Dr)

SALARIES EXPENSE (NO. 726)

Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
Aug 31	Balance	✓	51,000		51,000 (Dr)
Aug 31	Adjusting Entry	J1	400		51,400 (Dr)

UTILITIES EXPENSE (NO. 732)

Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
Aug 31	Balance	✓	9,400		9,400 (Dr)

(C) ADJUSTED TRIAL BALANCE

A statement confirming the arithmetic equality of the ledger following all 3-month adjustments.

NEOSHO RIVER RESORT ADJUSTED TRIAL BALANCE August 31, 2010			
Account No.	Account Title	Debit (\$)	Credit (\$)
101	Cash	19,600	
112	Accounts Receivable	1,000	
126	Supplies	600	
130	Prepaid Insurance	4,800	
140	Land	25,000	
143	Cottages	125,000	
144	Accumulated Depreciation—Cottages		1,500
149	Furniture	26,000	
150	Accumulated Depreciation—Furniture		600
201	Accounts Payable		6,500
209	Unearned Rent Revenue		3,300
212	Salaries Payable		400
230	Interest Payable		600
275	Mortgage Payable		80,000
301	P. Harder, Capital		100,000
306	P. Harder, Drawing	5,000	
429	Rent Revenue		85,100
620	Depreciation Expense—Cottages	1,500	
621	Depreciation Expense—Furniture	600	
622	Repair Expense	3,600	
631	Supplies Expense	2,700	
718	Interest Expense	600	
722	Insurance Expense	1,200	
726	Salaries Expense	51,400	
732	Utilities Expense	9,400	
	Totals	278,000	278,000

(D) FINANCIAL STATEMENTS

NEOSHO RIVER RESORT INCOME STATEMENT

For the 3 Months Ended August 31, 2010

REVENUES		
Rent Revenue		\$85,100
OPERATING EXPENSES		
Salaries Expense	\$51,400	
Utilities Expense	9,400	
Repair Expense	3,600	
Supplies Expense	2,700	
Depreciation Expense—Cottages	1,500	
Insurance Expense	1,200	
Depreciation Expense—Furniture	600	
Interest Expense	600	
Total Operating Expenses		71,000
Net Income		\$14,100

NEOSHO RIVER RESORT OWNER'S EQUITY STATEMENT

For the 3 Months Ended August 31, 2010

P. Harder, Capital, June 1, 2010	\$100,000
Add: Net Income for the period	14,100
Subtotal	114,100
Less: P. Harder, Drawing	(5,000)
P. Harder, Capital, August 31, 2010	\$109,100

**NEOSHO RIVER RESORT
BALANCE SHEET**

August 31, 2010

ASSETS			
Current Assets			
Cash			\$19,600
Accounts Receivable			1,000
Supplies			600
Prepaid Insurance			4,800
Total Current Assets			26,000
Property, Plant, and Equipment			
Land			25,000
Cottages	\$125,000		
<i>Less: Accumulated Depreciation—Cottages</i>	(1,500)	123,500	
Furniture	\$26,000		
<i>Less: Accumulated Depreciation—Furniture</i>	(600)	25,400	
Total Property, Plant, and Equipment			173,900
Total Assets			\$199,900
LIABILITIES AND OWNER'S EQUITY			
Current Liabilities			
Accounts Payable			\$6,500
Unearned Rent Revenue			3,300
Interest Payable			600
Salaries Payable			400
Total Current Liabilities			10,800
Long-Term Liabilities			
Mortgage Payable			80,000
Total Liabilities			90,800
Owner's Equity			
P. Harder, Capital, August 31, 2010			109,100
Total Liabilities and Owner's Equity			\$199,900